



PHARMACEUTICAL EXPORT PROMOTION COUNCIL OF INDIA

\$3.6**BILLION****VALUE OF
PHARMACEUTICAL
IMPORTS FROM
CHINA IN FY24.****₹1,807****CRORE****IMPORTS AVOIDED
THROUGH PLI-SUPPORTED
PROJECTS.****\$30.5****BILLION****INDIA'S
PHARMACEUTICAL
EXPORTS IN FY25.**

will increase demand for medicines and, in turn, the ingredients needed to manufacture them.

A COMPLETE SUPPLY CHAIN

The government responded in 2020 with launch of the Production Linked Incentive Scheme for bulk drugs, backed by an outlay of ₹6,940 crore. The programme targeted 41 strategically important products and was complemented by plans for bulk drug parks in Andhra Pradesh, Gujarat and Himachal Pradesh.

According to government data, manufacturing capacity has now been created for 26 key starting materials and APIs. Among the most closely watched projects were facilities producing Penicillin G in Kakinada and Clavulanic Acid in Nalagarh. These were not produced in India for more than two decades.

“The PLI Scheme is a step in the right direction, but financial incentives alone cannot instantly erase China’s structural advantages,” says Kallianpur.

Even as domestic capacity expands, imports continue to rise. Pharmexcil data shows bulk drug imports during the first two months of 2024-25 increased 13% compared with the corresponding period a year earlier.

Import growth has broadly kept pace with export growth. Between 2001 and 2024, exports of finished medicines climbed from just over \$1 billion to about \$23.3 billion. Imports of APIs and intermediates rose from roughly \$1.8 billion to nearly \$26 billion, according to Trade Map data analysed by ORF.

India has established itself as the pharmacy of the world. Whether it can reduce its dependence on imported ingredients may determine how secure that position remains. **BT**

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consumed are made in India, and the same holds true for many other markets,” says Sharvil Patel, Managing Director, Zydus Lifesciences. He calls for greater localisation of supply chains. “Companies must indigenise certain capabilities and build supply chains within key markets to reduce external dependencies,” he says.

Global customers looking to diversify away from China are increasingly examining supply chains in their entirety rather than focusing only on where the final product is made. “Indian pharmaceutical companies are expanding beyond traditional markets, building a strong presence across emerging geographies while reinforcing their foothold in regulated markets,” says Namit Joshi, Chairman,

Pharmexcil. An Indian supplier heavily dependent on Chinese intermediates may not be able address those concerns.

The industry’s ambitions remain high. Piyush Goyal, Union Commerce and Industry Minister, said recently that India’s pharmaceutical sector, currently around \$60 billion, is poised to double within five years. That growth is expected to increase demand for APIs, intermediates and key starting materials.

Growing demand is one reason. Another is more patients entering the formal healthcare system through schemes such as Ayushman Bharat. The Jan Aushadhi network continues to expand. Hospital infrastructure is spreading across Tier II and Tier III cities. Each of these developments